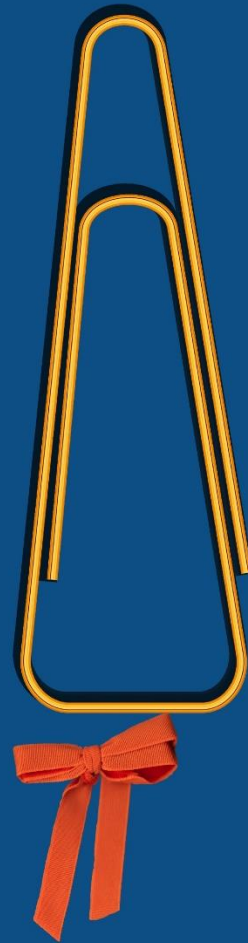


PRODUCT TACTICS

U N F O L D
Y O U R
C U S T O M E R S



SHAILESH BAGADE

Product Tactics: Unfold Your Customers

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INTRODUCTION:

79 percent of smartphone owners check their device within 15 minutes of waking up every morning. one-third of Americans say they would rather give up sex than lose their cell phones. Is it very difficult for us to keep our phone away for while? The technologies we use have turned into compulsions, if not full-fledged addictions. It's the impulse to check a message notification.

It's the pull to visit YouTube, Facebook, or Twitter for just a few minutes, only to find yourself still tapping and scrolling an hour later.

So, what makes some products so habit-forming?

The examples and case studies in this book will take you from the laboratory to the conference room. You'll read about how some products stimulate our hormones and captivate the psychological mechanism that regulates our brain activities.

The first Wins

Companies who maintained to well engage their customers enjoy several benefits to their profit line. These companies target users' internal trigger, as a result, users show up greater and greater interest without any prompting. Instead of relying heavy budget strategies, these companies engage user forming habitual strategies and easily enter into users' routine and emotions.

A habit is at work when users feel a tad bored and instantly open Twitter. They feel a pang of loneliness and before rational thought occurs, they are scrolling through their Facebook feeds. When a question comes to their mind, before searching into their brains, they query Google. And thus, the first solution mind likes wins.

What Triggered Me to Write the book

In the era technology, notable companies were making billions of dollars selling virtual cows on digital farms while advertisers were spending huge sums of money to influence people to buy whatever they were wanting. I observed these things keenly and the every first thought struck to my mind, is that these companies are not only playing the gimmicks but virtually providing dopamine samples to user to trigger the habits and make the market. I started documenting my observations in this book about psychological effect human is undergoing and about the human-computer interaction.

Who This Book is For

This book is specifically written for those members of software product teams—especially internal software product teams—both consumer and business, who are responsible for defining the products to be built. Often these product leaders are called “product managers,” but they may be company founders, executives, lead engineers, or designers. Your product may be an Internet service, shipped software, a device, or a platform. It may be for consumers, small businesses, or enterprises.

SHAILESH BAGADE



CHAPTER 1:

Find out your stand

If you already run a product team, then make it a priority to check-in regularly and find out how well each and every member of your team actually knows your customer. This isn't just important for marketers, it's essential for everyone who builds something that the customer will one day use. To evaluate where your team stands, ask them the following key questions:

- ❖ Who is our customer?
- ❖ What do they love or hate about us?
- ❖ When was the last time you spoke with a customer?
- ❖ How are you improving the customer experience?
- ❖ Where do you go to learn about your customers?

Your team should have a pristine picture of these questions, if they don't know the motive, then you may have a problem

Get Into Customer Room

Even if the knowledge of team is quite good, you still have to make communications and know customer pattern. You work and think in a comfortable office, not outside in the real world where your products are actually used. The real world is busy, stressful, messy. People are not going to sit down and use your product with the luxury of time in an air-conditioned conference room. You are not your customer.

So, think according to the worst, good will happen to you!

- Gather information from your customers team. Visit them going to their places and understand the concern they face. Listen them on call. Manage the most preferred mode of conversation by user
- Visit people in their homes. Go out into the wild and understand their triggers and environment
- Use NPS(Net Promotor Scale)

- i. Ask your users “On a scale of 0-10, how likely are you to recommend [Product or Company] to a friend.”
 - ▶Those who answer 0-6 are detractors.
 - ▶Those who answer 7 or 8 are neutral.
 - ▶Those who answer 9 or 10 are promoters.
 - ▶From your responses, add up the percentage of detractors, and the percentage of promoters.
 - ▶Subtract the number of detractors from the number of promoters.For example, if you had 100 answers with 20 detractors, 20 neutral, and 60 promoters, then your NPS would be 40. You should be aiming for an NPS score of over 50. Anything under this and you are doing something wrong.

The Product Council

Even in small companies, getting decisions made is often time consuming and frustrating. Every product company needs a mechanism to get the key stakeholders and decision makers together to make timely and informed product decisions

Establish a Product Council!

In general, I really am not a fan of committees or even most meetings. But I have found product councils to be very valuable, and their use can speed up the overall product development process considerably.

Purpose

The purpose of the product council is to set the strategic product direction, allocate product resources and investments, and provide a level of oversight of the company’s product efforts.

Membership

The Product Council is typically comprised of the cross-functional set of managers responsible for product development. Every company has its own considerations, but an example might be:

- CEO, COO or Division GM
- VP/Director of Product Management
- VP/Director of User Experience Design
- VP/Director of Marketing
- VP/Director of Engineering
- VP/Director of Site Operations
- VP/Director of Customer Service

Try to achieve the milestones in each meeting you have

Milestone 1: Review proposed product strategies and product roadmaps, and initiate opportunity assessments for specific product releases. That is, select the product opportunities to be investigated.

Milestone 2: Review opportunity assessments and recommendations, and issue go/no-go decisions to begin discovering a solution.

Milestone 3: Review product prototypes, user testing results and detailed cost estimates, and issue go/no go decision to begin engineering.

Milestone 4: Review final product, QA status, launch plans, and community impact assessments, and issue go/no-go decision to launch.

Customer Interview

Product manager is responsible for asking notorious questions but at the same time they should be very specific about asking questions

Here are few rules will help you asking questions:

- **Never ask “why”:** Many lean and Six-Sigma companies teach employees the 5-Whys to problem solving.

However, when doing market research, the word why is perceived as a challenge to the customers' decision. Your goal is to understand and observe. Instead, say "tell me about your experience." Or "walk me through your process."

- **Listen:** Don't speak so much! You should be listening 80% of the time, talking only 20% of the time. You are watching, on the lookout to discover innovative ways to solve a problem. One should act as a therapist, ask questions about their difficulties and what keeps them up at night
- **It's a love-hate relationship:** Examine extremes. Question what they love and follow up with inquiring about what they hate.
- **Gather Evidences:** Gather evidences as real-time and get pictures, or video. Count steps / clicks and observe size and shape. The data accumulated will inform product teams and help other team members to learn and develop the something
- **Read reviews:** Focus on "Best Friend, Worst Enemy" goal. People loving/hating product often write reviews on internet. You must spend time reading the reviews, gathering what people like and what they don't like on social media. Listen to videos, posts and blogs. Also look the what goes better in competitor's product.
- **Give out podcasts, demos:** To make audience reachable to your product, you should be giving podcast, demos over YouTube channels who are willing to showcase your product and explain the usage.
- **Find Innovation in "Not":** Innovation is often the removal of a previously required but generally annoying element. Car = horseless carriage. Bluetooth

= cordless phone. Kindle = paperless book. It's a process of streamlining – making things work faster, nimbler and accessible.

JORI BELL,

PRODUCT OWNER, SPOTIFY



CHAPTER 2:

Create Your Minimum Viable Product

Eric Ries, introduces MVP as the minimum viable product is a product with enough features to attract early-adopter customers and validate a product idea early in the product development cycle. MVP can help the product team receive user feedback as quickly as possible to iterate and improve the product.

A company might choose to develop and release a minimum viable product because its product team wants to:

- Release a product to the market as quickly as possible
- Test an idea with real users before committing a large budget to the product's full development
- Learn what resonates with the company's target market and what doesn't

Jori Bell, has advised to use the strategy as it's important to know what customer wants first. Narrow down the requirement at initial stage and deploy them to the customer while get feedback and improve the future development. MVP is subjective, its practices vary from company to company and subject to subject



Spotify's mission is

"To unlock the potential of human creativity - by giving a million creative artists the opportunity to live off their work and billions the opportunity to enjoy and be inspired by it."

Jori's work focuses on the segment of creators, rather than the listeners specifically. As a creative person, Jori finds it easy to empathize with this group. But they faced lots of issues from artists regarding artists' branding and promotion of songs. The artists also wanted to know where they were appearing. This new feature delivered the ability to see them focused through the platform. Thus Spotify upgraded their fan page to Spotify for artists. You should be able to see the clear picture of your audience

NIR

EYAL,

AUTHOR OF HOOKED BOOK



CHAPTER 3:

How To Build Habit Forming Product

Now, let's take things a step further and look at how to use neuropsychology to design habit-forming products that people will use again and again. The undisputed expert in this field is Nir Eyal, the author of the hugely successful book *Hooked: How to Build*

Habit- Forming Products. Habits are one of the ways the brain learns complex behaviors. Neuroscientists believe habits give us the ability to focus our attention on other things by storing automatic responses in the basal ganglia, an area of the brain associated with involuntary actions. Habits form when the brain takes a shortcut and stops actively deliberating over what to do next. The brain quickly learns to codify behaviors that provide a solution to whatever situation it encounters.

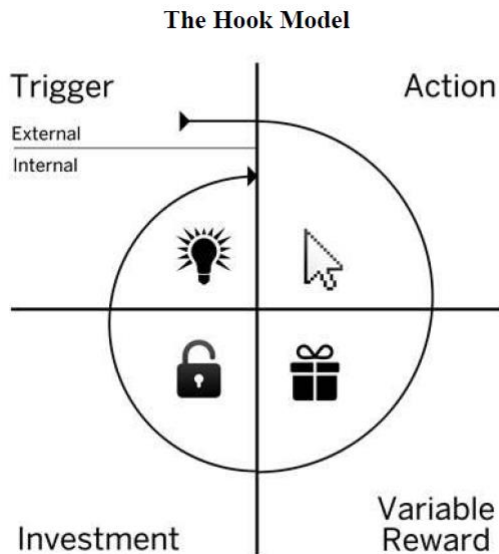
Habit-forming technology is already here, and it is being used to mold our lives. The fact that we have greater access to the web through our various connected devices — smartphones and tablets, televisions, game consoles, and wearable technology — gives companies far greater ability to affect our behavior.

Another example, nail biting is a common behavior that occurs with little or no conscious thought. Initially, the biter might start chomping on her cuticles for a reason — to remove an unsightly hangnail, for example. However, when the behavior occurs for no conscious purpose — simply as an automatic response to a cue — the habit is in control. For many persistent nail biters, the unconscious trigger is the unpleasant feeling of stress. The more the biter associates the act of nail chomping with the temporary relief it provides, the harder it becomes to change the conditioned response.

Like nail biting, many of our daily decisions are made simply because that was the way we have found resolution in the past. The brain automatically deduces that if the decision was a good one yesterday, then it is a safe bet again today and the action becomes a routine. Now aim here is make a habit of product to the customer so that customer use it again and again.

According to the theory, for any human behavior to occur we need motivation, ability and a trigger

$$B = M + A + T$$



Triggers

A trigger is the actuator of behavior — the spark plug in the engine.

Triggers come in two types: external and internal. Habit-forming products start by alerting users with external triggers like an email, a website link, or the app icon on a phone.

1. Internal Triggers

For example, Amit from Maharashtra, is photo-addict. He wants to tell his friends what he is wearing, where he is going, eating and other stuff. So, whenever Amit goes out to a restaurant, his intrinsic behavior triggers him to take mobile shot so that he can edit and upload the pic on Instagram / Facebook. This is the internal trigger. Amit did not take any self-effort to get realization of taking photo. His subconscious mind signaled him here, because it was tightly coupled with his emotions. Gradually, these bonds cement into a habit as users turn to your product, when experiencing certain internal triggers.

Reflect on your own life for a moment. What woke you up this morning?
What caused you to brush your teeth? What brought you to read this book?

2. External Triggers

Habit-forming technologies start changing behavior by first cueing users with a call-to-action. This sensory stimulus is delivered through any number of things in our environment. External triggers are embedded with information, which tells the user what to do next.

An external trigger communicates the next action the user should take. Often, the desired action is made explicitly clear. For example, what external triggers do you see in this Coca-Cola vending machine.



Take a close look at the welcoming man in the image. He is offering you a refreshing Coke. The text “Thirsty?” below the image tells you what the man in the photo is asking. He shows a Coke and prompts the next expected action of inserting money and selecting a beverage.

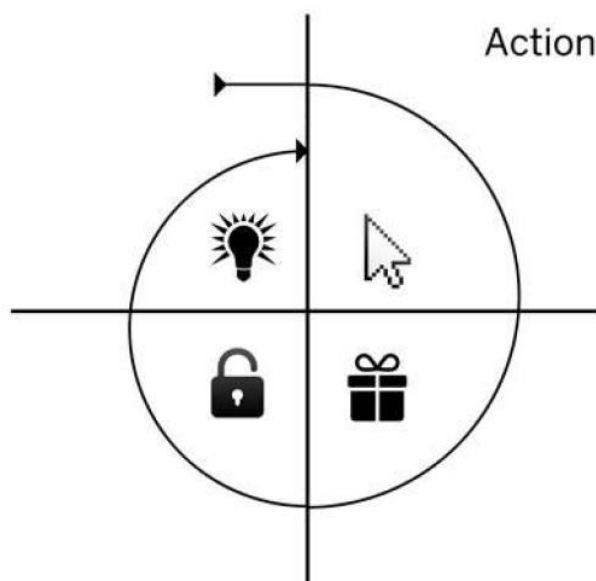
One person telling others about a product or service can be a highly effective external trigger for action. Whether through an electronic invitation, a Facebook Like or old-fashioned word-of-mouth, product referrals from friends and family are often a key component of technology diffusion.

Building Triggers

The ultimate goal of a habit-forming product is to solve the user's pain by creating an association so that the user identifies the company's product or service as the source of relief.

First, the company must identify the particular frustration or pain-point in emotional terms, rather than product features. But how does a designer go about uncovering the source of a user's pain? The best place to start is to learn the drivers behind successful habit-forming products — not to copy them, but to understand how they solve users' problems. Doing so will give you practice in diving deeper into the mind of the consumer and alert you to common human needs and desires.

Likewise, Instagram built trigger in Amit. Instagram is more than a camera replacement; it is a social network. The app helps users dispel boredom by connecting them with others, sharing photos, and swapping lighthearted banter. Like many social networking sites, Instagram also alleviates the increasingly recognizable “pain” known as “fear of missing out,” or FOMO. For Instagram, associations with internal triggers provide a foundation to form new habits. Ultimately its ability to understand people brought it together.



Action

If the user does not take action, the trigger is useless. The more effort — either physical or mental — required to perform the desired action, the less likely it is to occur.

For actions to trigger, user must have motivation.

Let's say you are travelling outside and your mobile phone is kept inside a luggage bag which is kept in the trunk of a your car. When your phone rings you see it's ringing but you probably don't have motivation to search it and pull it up from the bag. Probably you thought, you will call back to whoever called you. So, you lack motivation to perform the action here. You thought it's not so important.

Motivation – Dr. Edward Deci, Professor of Psychology at the University of Rochester and a leading researcher on Self-Determination Theory, defines motivation as, ***“The energy for action”***. Fogg states that all humans are motivated to seek pleasure and avoid pain, to seek hope and avoid fear, and finally, to seek social acceptance and avoid rejection

How Ads Motivates us



Another example of advertising is “Sex Sells”. Long an advertising standard, images of buff, scantily clad (and usually female) bodies are used to hawk everything from the latest Victoria’s Secret lingerie to domain names through GoDaddy.com and fast food chains such as Carl’s Jr. and Burger King. Off course, this strategy only appeals to a particular demographic's association with sex as a salient motivator. While teenage boys — the common target for these ads — may find them inspiring, others may find them distasteful. What motivates some people will not motivate others, a fact that provides all the more reason to understand the needs of your particular target audience

Example -2

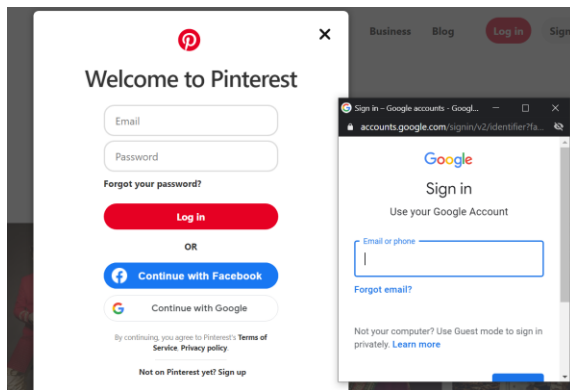


On the flip-side, negative emotions such as fear can also be powerful motivators. The ad above shows a disabled man with a shocking head scar. The ad is impactful, communicating the risks of not wearing a motorcycle helmet. The words, "I won't wear a helmet it makes me look stupid," along with the patient's mental age (post motorcycle accident) of two-years old, send a chilling message.

Logging into Facebook

Traditionally, you must have seen registering on different platform needs lot of steps like filling details, emails, verifying emails and setting password. This burden of doing

things distracts users from accessing the platform and user simply finds another website leaving this (I do this very often). However, today it is nearly impossible to browse the web or use a mobile app without encountering a Facebook Login prompt. Many companies have eliminated several steps in the registration process by enabling users to register with their sites by using their existing Facebook credentials.



While the Facebook login function is useful for time-starved people. At the same time, users who are wary of how Facebook might share their personal information may not find the login button helpful because it may trigger new anxieties. But still There is no one-size-fits-all solution. Majority always Wins

How Google won the Business



Yahoo Home page in 1998



Google Home page in 1998

From its inception, Google's clean and simple homepage and search results pages were solely focused on streamlining the act of searching and getting relevant results. Google reduced the amount of time and the cognitive effort required to find what the user was looking for. Google's efforts are intended to make searching easier to keep users coming back

The Scarcity Effect

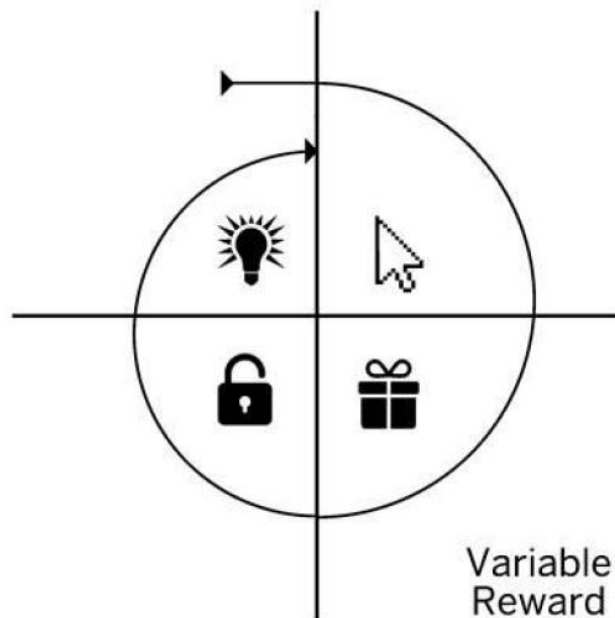
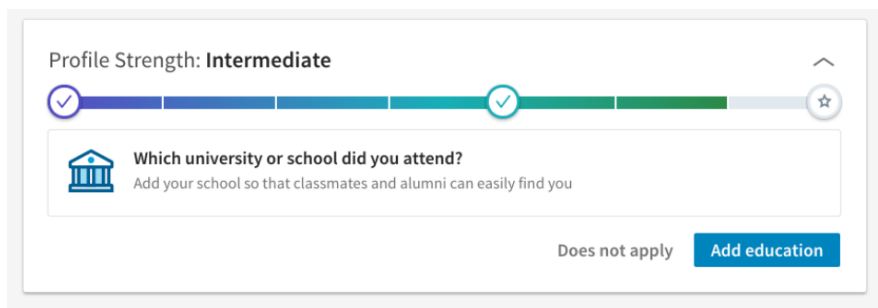
How perception of a limited supply can increase sales, look no further than Amazon.com. I needed a book, there were "only 14 left in stock", while a search for a book I've had my eye on says only three copies remain.

Is the world's largest online retailer almost sold out of nearly everything I want to buy or are they using the scarcity heuristic to influence my buying behavior?



Need a Progress Bar

One study demonstrates the endowed progress effect, a phenomenon that increases motivation as people believe they are nearing a goal. Sites such as LinkedIn and Facebook utilize this heuristic to encourage people to divulge more information about themselves when completing their online profiles. On LinkedIn, every user starts with some semblance of progress. The next step is to “Improve Your Profile Strength” by supplying additional information. As users complete each step, the meter incrementally shows the user is advancing. Cleverly, LinkedIn’s completion bar jumpstarts the perception of progress and does not include a numeric scale.



Variable Rewards

“Rewards” for responding to the trigger and using your product happen in the brain. Specifically, in the area called the Nucleus Accumbens. When lab rats could stimulate that part of the brain with an electrical current, that was all they wanted to do from then on. Likewise, with people - when people could trigger this part of the brain by pushing a button in a laboratory, some had to be physically removed from the experimental setting as they enjoyed triggering this part of the brain so much!

Sex, movies, junk food... and using good products all stimulate the same part of the brain! But this is not the brain’s pleasure center. It is the stress of desire, the reflex of desire. It becomes most active in anticipation of a reward, but less active when the reward is delivered. This action produces dopamine in brain which stimulates happiness and feeling of completion.

Facebook



Facebook provides numerous examples of variable social rewards. Logging-in reveals an endless stream of content friends have shared, comments from others, and running tallies of how many people have “liked” something. It creates the uncertainty

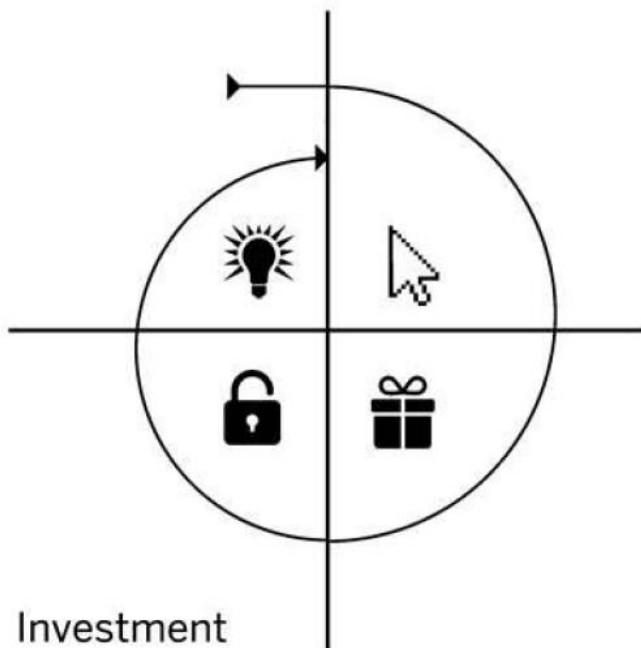
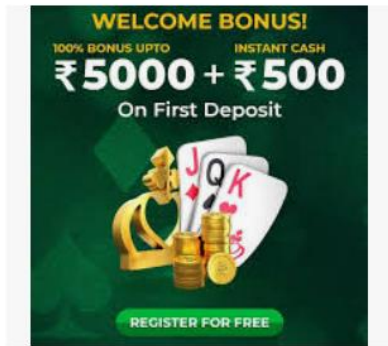
what will you see. This uncertainty acts as trigger to the user. This provides provide variable rewards that motivate them to continue posting

Video Games

Games creators designed a reward system leveraging Bandura's social learning theory, which they called Honor Points. The system gave players the ability to award points for successfully completing first initial step. These virtual kudos encouraged positive behavior and helped the best and most cooperative players to stand out in the community. The number of points earned was highly variable and could only be conferred by other players.



These games fulfil the players desire for competency by showing progression and completion. Some games are so trained to engage people that by very little amount they ask user to buy required points using cash and the already secreted Dopamine in users asks them ***“Just, Get that Stuff!”***



Investment

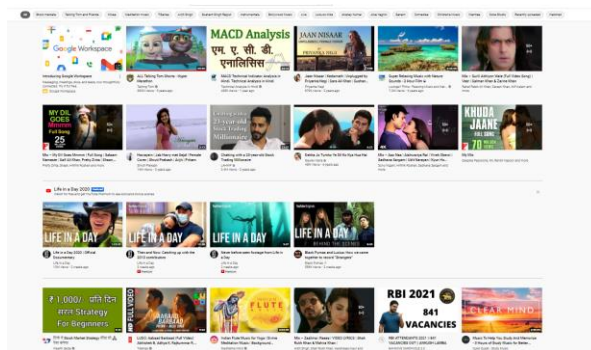
A psychological phenomenon known as the escalation of commitment has been shown to make our brains do all sorts of funny things. The power of commitment makes some people play video games until they keel over and die. The more users invest time and effort into a product or service, the more they value it.

IKEA, the world's largest furniture retailer, sells affordable, ready-to assemble household furnishings. IKEA puts its customers to work. It turns out there's a hidden benefit to making users invest physical effort in assembling the product — by asking

customers to assemble their own furniture. Its business gains higher value simply because their users have put work in assembling them.

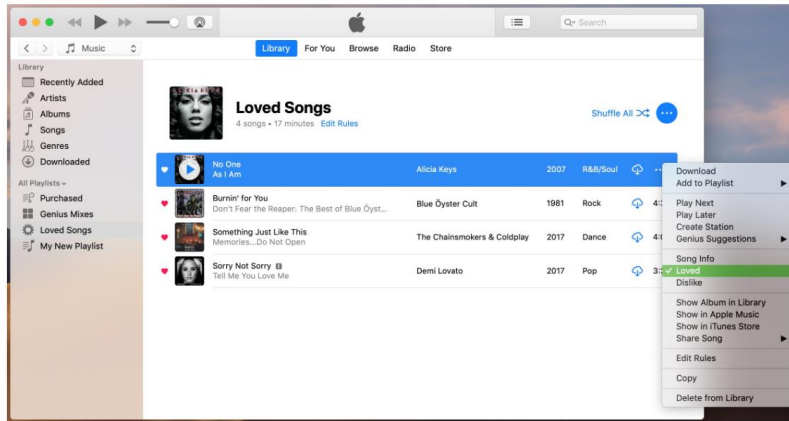
YouTube

Take YouTube as an example, YouTube asks its users to like, comment the songs they are listening to. You must have noticed when one song ends another song starts of your choice, while listening to music. This is because you have played those songs frequently and YouTube gathered this information. You have invested time telling YouTube what you like. This makes significant impact on YouTube business



Apple

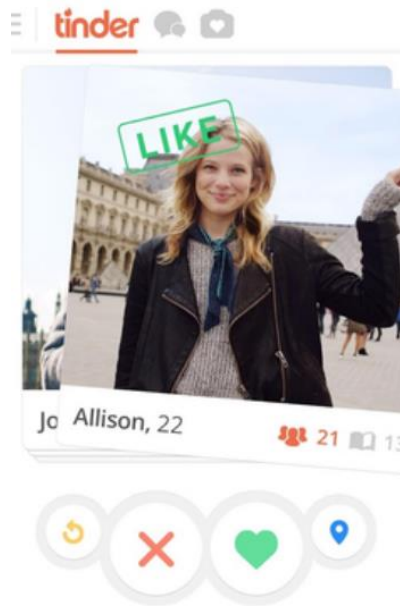
Every time users of Apple's iTunes add a song to their collection, they are strengthening ties to the service. users can do more with their music and iTunes get better with use by learning their preferences. Apple revealed that its new iTunes Radio service would provide personalized music recommendations based on the kind of music in users' iTunes collections. The new feature provides yet another example of how technology adapts and improves based on users' investment.



Tinder

In mid-2003, Tinder quickly captured the attention of millions of people looking for love with a simple interface, generating 3.5 million matches from 350 million swipes each day. After launching the mobile app and logging-in with Facebook, users browse profiles of other singles. Each potential match is presented as a card. Swipe left if you are not interested and right if that special someone catches your fancy. If both parties express interest, a match is made, and a private chat connects the two potential lovebirds.

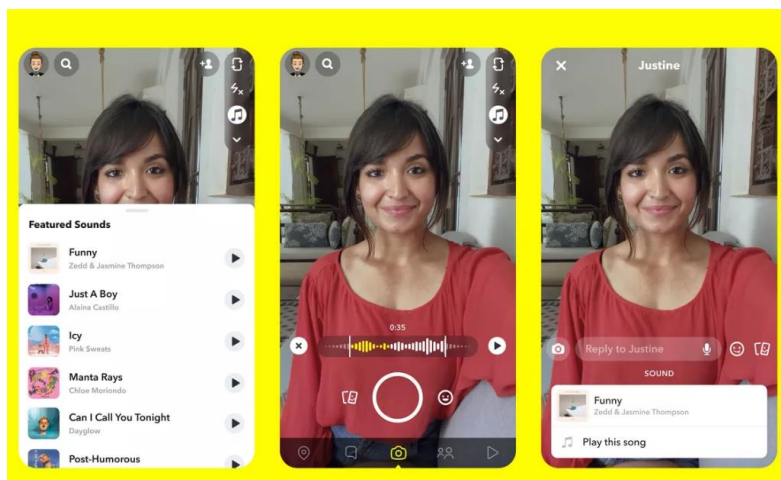
By simplifying the investment of sorting through potential mates, Tinder makes loading the next trigger more likely with each swipe. The more swipes, the more potential matches are made and of course, each match sends notifications to both interested parties.



Snapchat

As of June 2013, a popular photo sharing app called Snapchat boasted of five million daily active users collectively sending over 200 million photos and videos daily. This tremendous engagement means an average Snapchat user sends 40 pics every day!

Snapchat is more than a way to share images.



CHAPTER 4:

How Habits are Good for Business

Before diving into the mechanics of how habits are made useful for business, we must first understand their general importance and competitive benefits for businesses. Habit formation is good for business in several ways.

Increasing Customer Lifetime Value

MBAs are taught that a business is worth the sum of its future profits. Fostering consumer habits is an effective way to increase the value of a company by driving higher customer lifetime value (CLTV). CLTV is the amount of money made from a customer before she switches to a competitor, stops using the product, or dies. User habits increase how long and how frequently customers use a product, resulting in higher CLTV. Some products have a very high CLTV.

For example, credit card customers tend to stay loyal for a very long time and are worth a bundle. Hence, credit card companies are willing to spend a considerable amount of money acquiring new customers. This explains why you receive so many promotional offers, ranging from free gifts to airline bonus miles, to entice you to add another card or upgrade your current one. Your potential CLTV justifies a credit card company's marketing investment.

Offer Pricing Flexibility

Renowned investor and Berkshire Hathaway CEO Warren Buffett once said, "You can determine the strength of a business over time by the amount of agony they go through in raising prices." Buffett and his partner, Charlie Munger, realized that as customers form routines around a product, they come to depend upon it and become less price-sensitive.

For example, in the free-to-play video game business, it is standard practice for game developers to delay asking users to pay money until they have played consistently and habitually. Once the compulsion to play is in place and the desire to progress in the game increases, converting users into paying customers is much easier. Selling virtual items, extra lives, and special powers is where the real money lies. As of December 2013, more than 500 million people have downloaded Candy Crush Saga, a game played mostly on mobile devices. The game's "freemium" model converts some of those users into paying customers, netting the game's maker nearly a million dollars per day.

More is More Principle

These users who are consistently more flexible to find product value are more likely to tell their friends. Products with higher user engagement also have the potential to grow faster than their rivals. Case in point: Facebook leapfrogged its competitors, including MySpace and Friendster, even though it was relatively late to the social networking party. Although its competitors both had healthy growth rates and millions of users by the time Mark Zuckerberg's fledgling site launched beyond the closed doors of academia, his company came to dominate the industry. Facebook's success was, in part, a result of what I call the ***"more is more principle"*** — more frequent usage drives more viral growth. As tech-entrepreneur turned venture capitalist, David Skok points out, "The most important factor to increasing growth is ... Viral Cycle Time." Viral Cycle Time is the amount of time it takes a user to invite another user, and it can have a massive impact. "For example, after 20 days with a cycle time of two days, you will have 20,470 users," Skok writes. "But if you halved that cycle time to one day, you would have over 20 million users! It is logical that it would be better to have more cycles occur, but it is less obvious just how much better."

Having large proportion of active users will increase your rate of usage of application exponentially. The first person will tell other and so on. More active users are likely more to react, post, upload videos, invite. Thus, accelerating the growth

Habits Die Hard

Many entrepreneurs fail into the trap that building more sophistic version will bring more customer, hoping that this will ease the efforts. But when it comes to shaking consumers' old habits, these naive entrepreneurs often find that better products don't always win

"Many innovations fail because consumers irrationally overvalue the old while companies irrationally overvalue the new." — John Gourville, a professor of marketing at Harvard Business School.

Gourville writes that products that require a high degree of behavior change are doomed to fail even if the benefits of using the new product are clear and substantial.

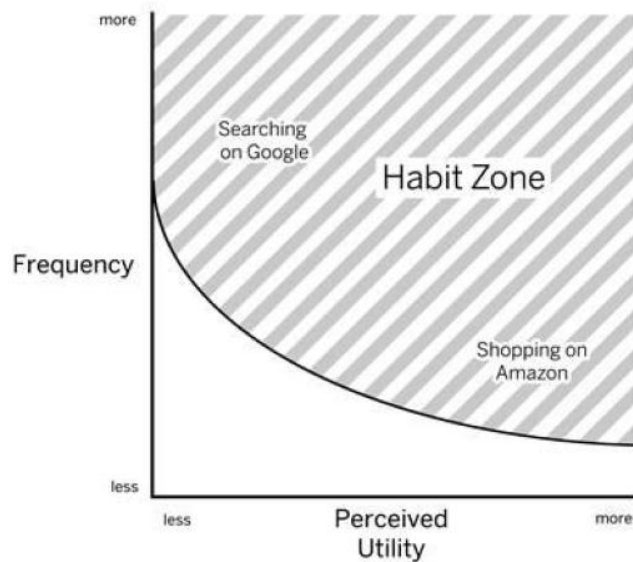
For example, the technology I am using to write this book is inferior to existing alternatives in many ways. I'm referring to the QWERTY keyboard which was first developed in the 1870s for the now-ancient typewriter. QWERTY was designed with commonly used characters spaced far apart. This layout prevented typists from jamming the metal typebars of early Machines. Of course, this physical limitation is an anachronism in the digital age, yet QWERTY keyboards remain the standard despite the invention of far better layouts. After months of practice, we instinctively learn to activate all our fingers in response to our thoughts with little to no conscious effort, and the words begin to flow effortlessly from mind to screen. But switching to an unfamiliar keyboard — even if more efficient — would force us to re-learn how to type. Fat chance!

Habit as Strategy

Sometimes a behavior does not occur as frequently as flossing or Googling, but it still becomes a habit.

Take Amazon as an example: The e-tailer has its sights set on becoming the world's one-stop shop. Amazon is so confident in its ability to form user habits that it sells and runs ads for directly competitive products on its site. Customers often see the item they are about to buy listed at a cheaper price and can click away to transact elsewhere. To some, this sounds like a formula for disaster. But to Amazon, it is a shrewd business strategy. Not only does Amazon make money from the ads it runs from competing businesses, but it also utilizes other companies' marketing dollars to form a habit in the shopper's mind. Amazon seeks to become the solution to a frequently occurring pain-point — the customer's desire to find the items they want. By addressing shoppers' price concerns, Amazon earns loyalty even if it doesn't make the sale, and comes across as trustworthy in the process.

Googling occurs multiple times per day, but any particular search is negligibly better than rival services like Bing. Conversely, using Amazon may be a less frequent occurrence, but users receive great value knowing they'll find whatever they need at the one and only "everything store." The more they purchase from Amazon, the more they likely to purchase for everything in future. Thus, the graph tends to move towards more perseverance with users searching less on google. They are more likely to buy the products directly from amazon with less search.



Vitamins vs. Painkillers

“Are you building a vitamin or painkiller?” Is the most common question almost all the investors ask founder eager to cash their venture. Always the investors are interested in supporting painkiller unlike vitamins.

Painkillers solve an obvious need, relieving a specific pain and often have quantifiable markets. For example, Think Tylenol, the brand name version of acetaminophen, and the product’s promise of reliable relief. It’s the kind of readymade solution for which people are happy to pay. In contrast, vitamins do not necessarily solve an obvious pain-point. Instead they appeal to users’ emotional rather than functional needs. When we take our multivitamin each morning, we don’t really know if it is actually making us healthier. In fact, recent evidence shows taking multivitamins may actually be doing more harm than good.

We don’t care whether the vitamins are actually connecting the deficiency. We feel satisfied when we take it. Its like checking off the day first take the vitamin and do the stuff later, if we can’t tell how much good it is actually doing us.

Unlike a painkiller, which we cannot function without, missing a few days of vitamin popping, say while on vacation, is no big deal. So perhaps managers and investors know best? Perhaps building painkillers, not vitamins, is always the right strategy.

Let us take an example of Facebook, Twitter, Instagram. What are they selling vitamins or painkillers? Most people would guess vitamins, thinking users aren't doing much of anything important other than perhaps seeking a quick boost of social validation. After all, think back to before you first started using these services. No one ever woke up in the middle of the night screaming, "I need something to help me update my status!". They are Vitamins at start then they sub consciously turned into Painkiller.

consider this idea: A habit is when not doing an action causes a bit of pain. And once the pain starts, people get addict to the painkiller and it becomes difficult to separate out the behavior of not using them.

CHRIS

MALIWAT,

VP OF PRODUCT, DREAMCLOUD



CHAPTER 5:

The Magic of Personalization

To help you understand the power of personalization, Chris Maliwat from DreamCloud presents a scenario that he learned from Mark Zuckerberg during his time at Facebook

Imagine you are visiting a city for the first time, and you walk into a bar that you've never been to before. You enter, and the bartender already knows your favorite drink and can make recommendations based on your tastes. Your favorite song starts to play over the speakers, and an app on your phone suggests that you go over and approach the gentleman in the corner who shares your passion for classical music.

Understanding the future personalization help us make better use of technology

It's simple as like when you go to your hairdresser. Your hairdresser already knows your preferences you ask for "as usual". Here you don't think of it as personalization. You think of it as relationship

Needs Input

Any software needs an input to analyses users' behaviors. If you watched an entire season of Stranger Things on Netflix in one day, Netflix doesn't need to ask you what you thought of the show: It knows you liked it! On the other hand, if you drop a show after 10 minutes and never return to it, that's a good sign that you didn't enjoy it.

Spotify Running used to learn not only your music preferences, but also learned your running pace and suggested songs whose tempo matched your running pace!

CHRIS BUTLER,

CHIEF PRODUCT ARCHITECT, IPSOFT



AI Plays a Role

Chris Butler, Director of AI at the Philosophie Group, has implemented multiple complex AI solutions for a broad range of companies for personalization.

So, what is AI?

"Data science produces insights. Machine learning produces predictions. Artificial Intelligence produces actions."

— David Robinson, Chief Data Scientist at Data Camp.

Wait! It has Limitations

The idea that AI exists to radically maximize use of a product or service can be taken too far. There are only so many hours in a day and so many times someone can reasonably purchase a flight or watch a video. Netflix have apparently said their main competition is sleep! The limit here is obvious: People can stay up late, but eventually, they'll need to close the laptop and get some shut-eye! Therefore, we need to find the sweet spot

Another example is a safety robot that was meant to lead people out of burning buildings. The trouble is, people would blindly follow the robot even if it malfunctioned and went around in circles. A robot was overkill for this kind of work, and people trusted it too much



Rebuilding your onboarding experience

Enzo Avigo, Product Manager at Intercom, explains why good onboarding is powerful and how it can even change the economics of a whole industry. Rebuilding your onboarding process can enhance your conversion rates from trial to paid customers by up to 200%. There are four steps to effective onboarding:

Don't Let User Go Away

Enzo Avigo also explains how to hold user stick to the site. While signing up to website.

- Are there unnecessary steps in your signup process?
- Do you really need that Captcha field, or their phone number, or for them to confirm their email?
- Do you really need all the personal details at start?

If you don't need a step or a hurdle, drop it and your conversion rates will rise. If you need it break it down in different screen. Make it easy and fluid and create a feeling of progress. Think about what sends people away from your app or page. If people see a coupon field, they may open another tab to search for the code, and then they get distracted and you lose the sale. Asking someone to validate an email address has the same result - it asks people to leave your platform. If at all possible, keep people on your app/ webpage - don't send them away.

Conclusion – Your Mission, Customers Journey and the Company's Value

Congratulations! You have really learnt strategies to master the customer acquisition skill. You learnt to quickly fill their needs using MVP, how you can hold on customers reducing obstruction in the flow. Personalization is better place. These skills will make your ladder up to the Product management. What comes next

is up to you. Based on your personal mission, the needs of the customers you serve, and the value of the company you work for, seek to build products that make the world a better place. We cannot wait to see what you come up with!

References Taken from Below Books

I thank to all the authors who has inspired me to write this book. This book is summary of all the books which I found useful. I have written this book for the knowledge buildup of myself and the product managers and I have also added by ideas along with the references I found on web.

1. Product Mindset – The Product School
2. Hooked – Nir Eyal with Ryan Hoover
3. Inspired – Marty Cagan
4. Web - References